

Unitised With-Profits pension payouts

This leaflet gives information on our current practice for unitised with-profits pension payouts. The fund table below shows the with-profits funds that the leaflet applies to. More information regarding your options at retirement is available from our website [standardlife.co.uk](https://www.standardlife.co.uk)

Fund Name	Fund Name
Pension With Profits	Pension Inflation Plus
Pension Millennium With Profits	Pension Millennium With Profits 2006
Pension With Profits One	Pension With Profits One 2006
Pension 2 With Profits 2	Pension 2 With Profits 2 2006

With-Profits Payout

The amount we will pay when you choose to move out of with-profits can depend on whether you have reached the retirement age selected when your plan started and whether you choose to:

- start taking your retirement benefits by:
 - buying an annuity
 - taking a lump sum
 - taking an immediate flexible income (drawdown)
- transfer to a new plan but not take any retirement benefits at that time
- switch into other investment funds under your existing plan

At present we calculate the value of your with-profits investment in two different ways. For simplicity we call these values the Transfer Value and the Retirement Value.

We always pay Retirement Value when plan guarantees apply to your payout and we may pay Retirement Value at other times. Our aim is to pay Retirement Value when you take your retirement benefits – whether you're taking an annuity, transferring to another plan so you can start taking a flexible income, or cashing in your plan and taking your payout as a lump sum. There's usually a tax charge if you cash in your plan. **Our current approach is shown on page 2.**

We explain Transfer Values and Retirement Values in more detail on pages 2 and 3.

We recommend you speak to a financial adviser if you are considering ending your with-profits investment as you may be giving up valuable guarantees.

Current approach

	Age	
	Less than the retirement age selected when your plan started	Retirement age selected when your plan started or older
Your payout being used to:	We currently pay	
Buy an annuity (after you have taken any tax-free cash)	Retirement Value	Retirement Value
Provide you with a lump sum (cashing-in your plan)	Retirement Value	Retirement Value
Transfer to another plan (with Standard Life or another provider) to start taking your retirement benefits immediately (lump sum and/or flexible income)	Retirement Value	Retirement Value
Transfer to another plan (with Standard Life or another provider) but are not taking any retirement benefits at that time	Transfer Value	Retirement Value
Switch into other funds under your existing Standard Life plan	Transfer Value	Retirement Value

Note: This is our current approach. We could change it but would only do so if we were confident the new approach maintained fairness.

The value shown in your annual statement is the Transfer Value. From age 55 we will also show your Retirement Value. From 6th April 2028 the Normal Minimum Pension Age (NMPA) will increase from 55 to 57.

With-Profits Guarantees

Guarantees are an important feature of your with-profits investment. Whenever a guarantee applies the payout will be at least the guaranteed amount, irrespective of how the with-profits fund has performed. The guaranteed amount is the number of with-profits units multiplied by the unredacted unit price less any outstanding initial units. In general plans that started after 1994 don't have initial unit charges.

When does the guarantee apply?

The guarantee applies at the retirement age selected when your plan started as long as you are taking your retirement benefits. For some plans the guarantee also applies at other ages. We pay Retirement Value whenever guarantees apply.

Our practice is currently more generous than this. For example we pay Retirement Value at any time if you buy an annuity or take a flexible income immediately (drawdown) or take your payout as a lump sum by cashing in your plan.

What is the Transfer Value?

The Transfer value is the fair value of your with-profits investment, taking account of the performance of the with-profits fund and any discretionary adjustments that we make such as any smoothing or any inherited estate.

Your with-profits investment is made up of units allocated to your plan in one or more bonus years.

A bonus year is from 16 November in one year to 15 November in the next. We currently calculate the value of the units allocated to your plan separately for each bonus year and add these up to get the Transfer Value for each with-profits fund that you are invested in.

The value of each year's units takes account of;

- the payments you make less any amounts withdrawn
- the returns on the assets we invest in
- the deductions we make
- amount of any smoothing we apply
- any inherited estate, if applicable

When your with-profits plan ends, we will pay a final bonus if your Transfer Value is higher than the unit value (number of units multiplied by the unit price).

However, if your Transfer Value is lower than unit value we will not pay any final bonus and we will reduce the unit price. This is called a Market Value Reduction (MVR). See examples on Pages 3 & 4.

What is the Retirement Value?

The Retirement Value is at least the total unit value*. Currently we use the same method to calculate the Retirement Value and the Transfer Value, except if the value of any year's units is less than the unit value (number of units multiplied by the unit price) we increase it to the unit value. The unit price is not directly linked to the performance of the underlying assets and this is why the Retirement Value can be higher than the Transfer Value.

*The final value will be less than this if there are any outstanding initial unit charges.

Further Information

There is more information on how we set payouts in our With-Profits guide, which is available from our website standardlife.co.uk/withprofitsguides or on request on 0345 60 60 100 (call charges will vary).

Examples of Transfer Value and Retirement Value Calculations

The following simplified examples illustrate the Transfer Values and Retirement Values for four investors who made with-profits payments in two or more bonus years.

These examples are based on the following information:

Bonus Year	Current value of payments made to the plan in the year	Current unit price x total number of units
1	£5,800	£6,700
2	£6,000	£6,400
3	£7,400	£6,200
4	£6,500	£6,000

For these payments:

- The current value is lower than the current unit price x total number of units for bonus years 1 and 2.
- The current value is higher than the current unit price x total number of units for bonus years 3 and 4.
- This could happen where there are negative returns on the assets in years 1 and 2, followed by positive returns in years 3 and 4 and regular bonuses continue to be added each year.
- The Transfer Value is the total of **the current value of the payments** for each year.
- The Retirement Value is the total of the **higher of the current value of the payments and the current unit price x total number of units** for each year.

Investor 1 made with-profits payments in years 1, 2, 3 and 4.

Bonus Year	Current value of payments made in the year A	Current unit price x total number of units B	Higher of A and B
1	£5,800	£6,700	£6,700
2	£6,000	£6,400	£6,400
3	£7,400	£6,200	£7,400
4	£6,500	£6,000	£6,500
Total	£25,700	£25,300	£27,000

The current unit price x total number of units for Investor 1's plan is £25,300.

The Transfer Value is £25,700 and includes a final bonus of £400.

The Retirement Value is £27,000 and includes a final bonus of £1,700.

Examples of Transfer Value and Retirement Value Calculations

Investor 2 only made with-profits payments in years 1 and 2.

Bonus Year	Current value of payments made in the year A	Current unit price x total number of units B	Higher of A and B
1	£5,800	£6,700	£6,700
2	£6,000	£6,400	£6,400
Total	£11,800	£13,100	£13,100

The current unit price x total number of units for Investor 2's plan is £13,100.

The Transfer Value is £11,800. If we paid the Transfer Value there would be no final bonus and we would reduce the unit price. This is where an MVR would apply under the Transfer Value.

The Retirement Value is £13,100. There is no final bonus in the Retirement Value.

Investor 3 only made with-profits payments in years 3 and 4.

Bonus Year	Current value of payments made in the year A	Current unit price x total number of units B	Higher of A and B
3	£7,400	£6,200	£7,400
4	£6,500	£6,000	£6,500
Total	£13,900	£12,200	£13,900

The current unit price x total number of units for Investor 3's plan is £12,200.

The Transfer Value is £13,900 and includes a final bonus of £1,700.

The Retirement Value is £13,900 and includes a final bonus of £1,700.

Investor 4 only made with-profits payments in years 1 and 4.

Bonus Year	Current value of payments made in the year A	Current unit price x total number of units B	Higher of A and B
1	£5,800	£6,700	£6,700
4	£6,500	£6,000	£6,500
Total	£12,300	£12,700	£13,200

The current unit price x total number of units for Investor 4's plan is £12,700.

The Transfer Value is £12,300. If we paid the Transfer Value there would be no final bonus and we would reduce the unit price. This is where an MVR would apply under the Transfer Value.

The Retirement Value is £13,200 and includes a final bonus of £500.

These examples are simply to illustrate how the process works. We do not provide a breakdown of the separate bonus year calculations for individual plans.